CONFIDENTIAL INTERNAL COMMUNICATION
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SOP NUMBER: SOP-OPSFIN-231

Other Revenue Controls

Sources of Other Revenue may vary by hotel. The Finance Leader is to ensure that the appropriate controls are documented and implemented for each type of Other Revenue per the guidance provided in this Standard Operating Procedure.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. OTHER REVENUE RECONCILIATION

1) For revenue originating from an interfaced system (i.e. Telephone, Pay TV, Internet, Mini Bar, etc.), a reconciliation should be completed, at least monthly, comparing the system's revenue report with revenue posted through the PMS. Variances should be investigated and resolved.

2) For manually posted charges (i.e. Dry cleaning, Newspaper, etc.), the manual log or invoice should be reconciled, at least monthly, to charges posted manually to the PMS. Variances should be investigated and resolved.

3) Reconciliation may be performed by comparing the third party invoices to revenue raised and ensuring the profit is in line with agreed commission or profit percentage trend is consistent.

4) Where annual or prepaid memberships are charged (i.e. Golf, Health Clubs, etc.), income must be deferred and released to the profit and loss account in a proportional manner. Initiation fees are to be recorded to revenue once payment is received.

B. GROUP CANCELLATION AND ATTRITION CHARGES

1) Revenue must not be recognized until the Cancellation / Attrition charge has been paid.

2) If the client pays in full at such time the Cancellation / Attrition charges are posted or if there is an advance deposit on the books to use as payment for those charges, Revenue should be recognized immediately.

3) If the client has to be billed in an effort to collect payment for Cancellation / Attrition charges, the charge must be coded to Deferred Income and posted to the City Ledger. Once the payment is received, the payment is to be posted against the City Ledger account. Upon receipt of that payment, the Deferred Income should be debited and the appropriate Cancellation/ Attrition revenue account credited.

4) The handling of Cancellation / Attrition must be as specified by the signed contract. Any exceptions such as forgiveness of the charge for booking a future event or settlement for less than the amount due must be approved by the Operations Leader.

C. COMMISSIONS

1) Commissions may be received from a variety of sources (i.e., AV providers, Florists, etc.).

2) The Finance Leader must determine the sources of commissionable revenue types and document the procedure for their collection. The procedure must be consistent with the signed contract for these services and the revenue must be calculated in accordance with contractual terms.

D. PROPERTY MAINTAINED MACHINES

1) The terms and conditions of property maintained Vending Machines, Arcade Machines, ATMs, etc. must be clearly stated in writing, in compliance with local legal regulations and FP-OPSFIN-146 Hotel Contract Execution & Spending Policy.
2) The designated Income Auditor must ensure that all such hardware has been emptied at least monthly by two Team Members.
    a) The keys (or access mechanism) to the cash box must not be in control of either the two Team Members assigned to complete the count.
    b) A count sheet must be completed and signed by both Team Members tasked to complete the count.
    c) All revenue is to be posted in PMS or POS, as appropriate, and cash is to be dropped in compliance with FP-OPSFIN-111 General Cashiering.
3) For third party service providers, verification must occur to ensure that sales reports and commissions checks are received in a timely basis in accordance with the terms of the contract.

E. CASH BAR PROCEDURES

1) A report must be prepared by controlling, issuing, and returning stock, combined with cash registers or ticket sales. The prior mentioned reports must be reviewed by the designated Income Auditor and Cost of Goods Sold percentage must be included for review.
2) Cash registers must be Z read (this is a print out of all the cash transactions with a total). Cash Registers should be Z read by an individual independent of receipt of cash. The designated Income Auditor should reconcile the cash readings or ticket sales to the cash receipts/takings as deposited with the General Cashier.
3) The Income Auditor must record all the No-Sales per POS. This must then be issued to the relevant Department Heads for their review and follow up.
4) The designated Income Auditor must track and document the progression of various Control Counters (i.e. Reset Counter, Non Resettable Group Total and Programming Mode Counter) as applicable to the type of system, to ensure no unexplained gaps exist.